ionidea AI
ENGAGE EXCELLENCE

Budget Changes FY 2026–27 (April 2026 to March 2027)

The Union Finance Minister introduced a new tax regime in Budget 2026. These changes continue to impact income tax calculations for the Financial Year 2026–27

Taxpayers (employees) can now select between the old and new regimes for income tax calculation. The old regime retains traditional tax rates and exemptions. The new regime offers lower tax rates but minimal deductions and exemptions.

Tax Slab Rates for FY 2026–27

New Tax Regime:

Income Slab	Tax Rate
₹0 – ₹4,00,000	0%
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,001	30%

Old Tax Regime:

Income Slab	Tax Rate
₹0 – ₹2,50,000	0%
₹2,50,001 – ₹5,00,000	5%
₹5,00,001 – ₹10,00,000	20%
Above ₹10,00,000	30%

Note: From FY 2026–27 onwards:
- Standard Deduction: ₹75,000 (under both regimes)
- Rebate under Section 87A: ₹60,000 (available in New Regime) & ₹12,500 (under old tax regime) - Effective tax-free salary income under the New Regime: ₹12.75 lakhs

Exemptions/Deductions Not Available in the New Regime

- Section 16: Entertainment Allowance, Professional Tax
- House Rent Allowance (HRA)
- Leave Travel Allowance (LTA)
- All Chapter VI-A deductions:
- 80C (LIC, PPF, EPF, etc.)
- 80CCC, 80CCD, 80D, 80DD, 80DDB, 80E, 80EEA, 80EEB, 80G
- 80TTA/80TTB (Savings Interest)
- Interest on home loan for self-occupied property (Section 24)
- Set-off of losses from house property income

Option to Select the Tax Regime

Employees must choose between the Old and New Regimes while submitting Income Tax declarations in GreytHR.

If no declaration is made, TDS will be deducted under the New Regime by default.

The option selected applies only to TDS and cannot be modified mid-year.

However, employees can choose a different regime at the time of filing their Income Tax Return for the year.

Comparison: Old vs New Tax Regime (FY 2026–27)

Particulars	Old Tax Regime	New Tax Regime
Rebate eligibility (u/s 87A)	₹5 lakhs	₹12.75 lakhs
Standard Deduction	₹75,000	₹75,000
Effective Tax-Free Salary	₹5.75 lakhs	₹12.75 lakhs
Perquisites (official use)	✓	✓
HRA Exemption	✓	X
Leave Travel Allowance	✓	X
Other Allowances (e.g., food allowance)	✓	X
Professional Tax	✓	X
Interest on Home Loan (Section 24)	✓	X
Deductions under 80C/80D/80G etc.	✓	X
Medical Insurance (Section 80D)	✓	X
Disabled Individual Deduction (80U)	✓	X
Education Loan Interest (80E)	✓	X
Electric Vehicle Loan Interest (80EEB)	✓	X
Donations to political party/trust (80G)	✓	X
Savings Interest (80TTA/80TTB)	✓	X
Other Chapter VI-A deductions	✓	X